

In the stock market, price begins to bounce between two imaginary barriers that diverge, forming a megaphone shape. When you draw a trendline touching the minor highs along the top and another connecting the minor lows along the bottom, the broadening pattern becomes apparent. Neither the top nor bottom trendlines should be horizontal or near horizontal. Rather, price along the peaks becomes higher and price along the bottoms trends lower. Use the figures in this chapter for guidance.

Table 8.1 Identification Guidelines

Characteristic	Discussion
Appearance	Megaphone shape with higher highs and lower lows.
Price trend	The short-term price trend should be downward, leading to the broadening bottom. Ignore any overshoot or undershoot within 2 weeks of the start of the broadening bottom.
Trendlines	Price follows two diverging trendlines: The top one slopes upward and the bottom one slopes downward.
Touches	Should have at least five touches: three on one trendline and two on the other, but not necessarily alternating touches. Each touch should be a minor high or a minor low.
Whitespace	Price should cross the pattern from top to bottom plenty of times, filling the pattern with price movement, not leaving a large hole of whitespace.
Volume	The volume trend from the start to end of the pattern is usually upward. Don't discard a pattern because volume trends downward.
Breakout direction	A breakout occurs when price <i>closes</i> above the formation's high (upward breakout) or below the pattern's low (downward breakout). See text for details. The breakout can occur in either direction, and price may move horizontally for months before breaking out.

Price trend. Price trends downward into the start of a broadening bottom. Even if price rises a week or two before the chart pattern begins